

Part VI

AI Strategy Laboratories

"Artificial intelligence should augment strategic thinking—not replace it."

Introduction

Artificial intelligence is rapidly becoming an integral part of executive decision making. Organizations increasingly rely on AI to analyze markets, evaluate competitors, generate strategic alternatives, forecast demand, summarize research, and support organizational transformation. However, effective strategic leadership requires more than using AI tools—it requires understanding when to trust AI, when to challenge it, and how to integrate AI-generated insights with managerial judgment.

The AI Strategy Laboratories are designed to bridge this gap.

Each laboratory places students in the role of a strategy consultant working with an executive team. Students use approved AI tools to analyze organizational problems, evaluate strategic alternatives, critique AI-generated recommendations, and develop evidence-based executive deliverables.

Every laboratory aligns with one stage of the AI Strategy Evolution Framework (AISE) and contributes directly to the semester-long AI Strategy Consulting Project.

Learning Philosophy

The laboratories are guided by five principles:

- 1. **AI augments, but does not replace, strategic thinking.**
- 2. **Every AI-generated output must be critically evaluated.**
- 3. **Scholarly evidence takes precedence over unsupported AI claims.**
- 4. **Strategic recommendations require managerial judgment.**
- 5. **Responsible AI use includes transparency, verification, and ethical reflection.**

Students are evaluated on the quality of their reasoning rather than the sophistication of their prompts.

Laboratory Sequence

Lab	AISE Stage	Strategic Theme	Executive Deliverable
1	Strategic Diagnosis	Industry & Competitive Analysis	Executive Industry Brief

Lab	AISE Stage	Strategic Theme	Executive Deliverable
2	Capability Assessment	VRIO & AI Readiness	Capability Assessment Report
3	Capability Assessment	Dynamic Capabilities	Organizational Capability Map
4	AI Opportunity Identification	Organizational Learning	AI Opportunity Portfolio
5	AI Opportunity Identification	Knowledge Strategy	Knowledge & Data Asset Assessment
6	Strategic Choice	Strategic Alternatives	Executive Strategy Memorandum
7	Governance & Risk	Responsible AI	AI Governance Framework
8	Organizational Transformation	Change Management	AI Transformation Roadmap
9	Continuous Learning	Strategic Renewal	Executive Dashboard & KPI Framework
10	Integration	Executive Presentation	Board-Level Strategy Presentation

Standard Laboratory Structure

Each laboratory follows a consistent sequence.

Step 1 – Organizational Context

Students receive background information on an organization or use their semester consulting client.

The strategic challenge is introduced.

Step 2 – AI-Assisted Analysis

Students use approved AI systems to:

- summarize information,
- identify strategic issues,
- generate alternatives,
- compare frameworks,
- critique recommendations,
- identify missing information,
- develop executive insights.

Students must document all AI interactions.

Step 3 – Verification

Students verify AI-generated outputs using:

- peer-reviewed research,
- company reports,
- industry data,
- financial statements,
- reliable secondary sources.

Unsupported claims must be corrected or removed.

Step 4 – Strategic Evaluation

Students evaluate competing strategic alternatives using:

- Porter
- Barney
- Teece
- Grant
- March
- Prahalad & Hamel
- Williamson
- AISE Framework

Recommendations must be supported by both theory and evidence.

Step 5 – Executive Deliverable

Each laboratory concludes with a professional consulting deliverable prepared for senior executives.

Deliverables emphasize clarity, strategic insight, and actionable recommendations.

Weekly Laboratories

Laboratory 1

Strategic Diagnosis

Students perform an AI-assisted industry analysis.

Deliverables include:

- Industry overview
 - Competitive landscape
 - Five Forces summary
 - Strategic risks
 - Executive briefing
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Laboratory 2

AI Readiness Assessment

Students evaluate organizational capabilities using:

- Resource-Based View
- VRIO Analysis
- Data maturity
- AI maturity
- Leadership readiness

Deliverable:

Executive capability assessment.

Laboratory 3

Dynamic Capabilities

Students assess the organization's ability to:

- sense opportunities,
- seize opportunities,
- transform resources.

Deliverable:

Capability development roadmap.

Laboratory 4

AI Opportunity Identification

Students identify organizational opportunities for AI.

Categories include:

- Operations
- Marketing
- Finance
- Human Resources
- Innovation
- Customer Experience

Deliverable:

Prioritized AI opportunity portfolio.

Laboratory 5

Knowledge Strategy

Students evaluate organizational knowledge assets.

Topics include:

- Data quality
- Knowledge management
- Organizational learning
- AI-enabled knowledge creation

Deliverable:

Knowledge strategy report.

Laboratory 6

Strategic Alternatives

Students generate multiple strategic options.

AI is used to:

- challenge assumptions,
- compare alternatives,
- evaluate trade-offs.

Deliverable:

Executive strategy memorandum.

Laboratory 7

Responsible AI

Students design an enterprise AI governance framework.

Topics include:

- Ethics
- Privacy
- Cybersecurity
- Regulatory compliance
- Board oversight
- Risk management

Deliverable:

Responsible AI governance plan.

Laboratory 8

Organizational Transformation

Students design an AI implementation strategy.

Topics include:

- Organizational structure
- Leadership
- Talent
- Change management
- Operating model
- Capability development

Deliverable:

Transformation roadmap.

Laboratory 9

Strategic Renewal

Students develop a system for continuous learning and strategic adaptation.

Topics include:

- Dynamic capabilities
- Organizational learning
- Performance measurement
- AI monitoring
- KPI design

Deliverable:

Executive strategy dashboard.

Laboratory 10

Executive Board Simulation

Students integrate all previous laboratory outputs into a comprehensive AI strategy for their client organization.

Teams deliver a board-level presentation and defend their recommendations before a simulated executive committee.

Deliverables:

- Executive presentation

- Final consulting report
- Theory evolution synthesis
- Strategic implementation roadmap

Theory Evolution Exercise

Every laboratory concludes with a reflective exercise entitled:

Rewriting Strategy for the AI Era

Students respond to the following prompt:

If I were rewriting this week's classical theory in 2026, I would...

The reflection should:

1. Summarize the classical theory.
2. Identify its key assumptions.
3. Explain how AI reinforces or challenges those assumptions.
4. Propose theoretical extensions.
5. Discuss implications for managers and researchers.

Over the semester, these reflections become the foundation for the final synthesis paper, **Toward a Theory of Strategic Management in the Age of Artificial Intelligence**.

AI Usage Policy for Laboratories

Students may use approved AI systems to support analysis, brainstorming, drafting, and comparison of strategic alternatives.

However:

- AI-generated content must be disclosed.
- AI outputs must be independently verified.
- Students remain responsible for all submitted work.
- Unsupported AI claims may not be cited as evidence.
- Executive recommendations must reflect independent professional judgment.

The objective of the laboratories is not prompt engineering, but the development of disciplined strategic reasoning supported by responsible AI use.

Learning Outcomes

Upon completion of the AI Strategy Laboratories, students will be able to:

- Apply classical strategic frameworks to contemporary organizational challenges.
- Integrate AI into executive decision-making responsibly.
- Critically evaluate AI-generated strategic recommendations.
- Communicate evidence-based recommendations to executive audiences.
- Design AI-enabled organizational strategies grounded in theory and practice.
- Demonstrate professional judgment in environments characterized by technological uncertainty.

The laboratories prepare students to function as strategic analysts, consultants, and organizational leaders capable of leveraging artificial intelligence while maintaining the critical thinking, ethical reasoning, and strategic perspective essential to effective executive leadership.